

EPFO, the APFC, and a Worked Section 7A Inquiry

Chapter F3.4 — From Zero: The Organisation, Your Post Within It, and One Inquiry Carried from Notice to Appealable Order

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NOTE · HOW TO USE THIS DOCUMENT

The chapter about the post itself. It places EPFO precisely on the organisation chart - a statutory body under the Ministry of Labour and Employment, governed by a tripartite Central Board of Trustees, headed by the Central Provident Fund Commissioner - and then locates the Assistant Provident Fund Commissioner within it, separating the administrative half of the job from the quasi-judicial half. Its centrepiece is a COMPLETE WORKED SECTION 7A INQUIRY, carried through eight stages on one realistic fact pattern from the trigger and the question of jurisdiction, through the notice, the framing of issues, the evidence and the findings, to a fully quantified determination with the arithmetic shown, and on to interest under 7Q and damages under 14B assessed separately. It then works TWO DEFECTIVE ORDERS on the same facts to show precisely how a hearing that was actually given still produces an order that cannot survive appeal. It closes on the appellate route and on what an APFC may and may not do after the order is signed. Study time 3 hours 30 minutes.

This is the FOUNDATION layer. The organisational structure, the statutory powers and the appellate route are as at August 2026. The worked inquiry is an ILLUSTRATION constructed for teaching: the fact pattern and every figure in it are invented, and the arithmetic is shown so that it can be checked, but it is not a record of any real case. Designations and office counts change on reorganisation and are marked CONFIRM where not central.

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0. Why This Chapter Is Different

Every other chapter teaches you law. This one teaches you a procedure you will perform, and it is the chapter the interview will come from.

WHY THIS EXISTS · THE GAP THIS CHAPTER CLOSES

By the end of F3.3 you knew the Act and the Schemes. **You still could not conduct an inquiry**, and the difference matters more than it sounds.

A candidate who has read the Act can tell you that **Section 7A** empowers an officer to determine moneys due. That is not the same as knowing:

- 1 **what makes you competent** to hold the inquiry at all
- 2 **what to put in the notice**, and what happens if the employer ignores it
- 3 **which issues to frame**, so that the order answers the right questions
- 4 **how to quantify**, and how to show the quantification so it can be checked
- 5 **why interest and damages must be dealt with separately**, and what happens if you merge them
- 6 **what makes the order survive appeal** - which is the only test that matters

This chapter answers those six questions by doing one inquiry end to end. The fact pattern is invented, the figures are arithmetically checkable, and every stage names the provision it rests on.

And the reason it is worth this much space: the 2023 paper asked **who determines disablement**, and the answer turned on understanding that a medical question goes to a Medical Board rather than a court. Questions of that shape - **which authority, under which power, subject to what safeguard** - are the ones an examiner can fairly put to a candidate for this post. **This chapter is where you acquire the instinct to answer them.**

STUDY SESSION · CHAPTER F3.4 - THE FIVE SESSIONS

- 1 **Session 1 - EPFO on the organisation chart**, and what it administers (Section 1)
 - 2 **Session 2 - The APFC's post**: the administrative half and the quasi-judicial half (Section 2)
 - 3 **Session 3 - THE WORKED INQUIRY**, eight stages from trigger to order (Section 3)
 - 4 **Session 4 - TWO DEFECTIVE ORDERS** on the same facts, and why each fails (Section 4)
 - 5 **Session 5 - After the order**: review, appeal, recovery, and the limits of your power (Section 5)
- Then **44 graded questions**. Budget **five sessions**, about **two days**. **Session 3 is the one to re-read before the interview.**

1. Session 1 - EPFO on the Organisation Chart



MUST MASTER · EPFO LOCATED PRECISELY - THE THREE-FACT RULE APPLIED TO YOUR OWN EMPLOYER

Apply the three-fact rule from F2.10 to EPFO itself.

- 1 **NATURE** - a **STATUTORY body**, created by the **EPF & MP Act, 1952**. **Not** constitutional, **not** a company, **not** a mere department of the Ministry. It is one of India's largest social security organisations by membership and by corpus
- 2 **PARENT** - the **Ministry of Labour and Employment**, Government of India
- 3 **DISTINCTIVE FACT** - it administers **three schemes** under **one** enabling Act, and it is an **"other authority"** and therefore **"State"** under **Article 12**

Governance and management, which are different things and are examined as such:

Body or office	What it is
Central Board of Trustees (CBT)	The governing body . TRIPARTITE - Central Government, State Governments, employers and employees . Chaired by the Union Minister of Labour and Employment . Constituted under s.5A . It recommends the rate of interest
Executive Committee	Constituted under s.5B to assist the Board in administrative matters
Central Provident Fund Commissioner (CPFC)	The chief executive , appointed under s.5D . Not the chairman - the chairman is the Minister
Financial Adviser and Chief Accounts Officer	The Board's principal financial officer
Additional CPFC / Zonal offices	The zonal tier, headed by Additional Central Provident Fund Commissioners
Regional Offices (RPFC)	Headed by Regional Provident Fund Commissioners
District or Sub-Regional Offices	Where Assistant Provident Fund Commissioners commonly head or serve

Two distinctions candidates get wrong:

- 1 **The Minister CHAIRS the Board; the CPFC RUNS the organisation.** Chair and chief executive are different offices held by different people
- 2 **The CBT is tripartite, so it is not a purely governmental body.** Employers and employees sit on it as of right, which is the **same tripartism** you traced from the **ILO** through the **Indian Labour Conference** to here - **tripartism at three levels**, the F2.10 point

Exact office counts, zone boundaries and current office-holders change on reorganisation and are marked CONFIRM. Nature, parent, chair, chief executive and the three schemes do not change, and those are what get asked.

KNOW · WHAT EPFO ACTUALLY DOES, IN FIVE FUNCTIONS

- 1 **Registration and coverage** - identifying establishments to which the Act applies, allotting codes, and deciding coverage disputes under **s.7A**
- 2 **Collection** - receiving contributions through the **Electronic Challan cum Return by the 15th**, and enforcing against default with **7Q interest** and **14B damages**
- 3 **Accounting and investment** - maintaining member accounts under the **UAN**, crediting **interest at 8.25% for FY 2025-26**, and investing the corpus under the prescribed pattern
- 4 **Benefit delivery** - settling provident fund claims and advances, sanctioning **EPS pensions** and paying **EDLI assurance**
- 5 **Adjudication and recovery** - determination under **7A**, review under **7B**, escaped amounts under **7C**, and recovery under **8 to 8G**

Note which of the five is distinctively yours. Collection and benefit delivery are administrative and largely systematised. **Adjudication is not** - it requires a human being exercising judgment on evidence, and it is the function that cannot be automated. **That is why the post is recruited through a competitive examination and an interview rather than filled clerically**, and it is a good answer to "why do you want this job?"

CHECK YOURSELF · SESSION 1

- 1 Classify EPFO by nature and parent. Which Article makes it "State"?
- 2 Who chairs the CBT, and who is the chief executive? Under which sections?
- 3 What is the CBT's composition, and what does it recommend?
- 4 Trace tripartism through three levels
- 5 Name EPFO's five functions, and say which one cannot be automated

2. Session 2 - The APFC's Post ★★★★★

START FROM ZERO · TWO JOBS IN ONE POST

An Assistant Provident Fund Commissioner does **two kinds of work**, and confusing them is the commonest failure of a new officer.

THE ADMINISTRATIVE HALF. Running an office: supervising claim settlement within timelines, compliance monitoring, inspections, employer outreach, grievance redressal, and managing staff. Here you are an **executive** - you pursue the organisation's objectives, you may act on policy and circulars, and efficiency is a virtue.

THE QUASI-JUDICIAL HALF. Determining what an employer owes under **Section 7A**, reviewing under **7B**, assessing damages under **14B**. Here you are **not** an executive pursuing collection targets. You are deciding a dispute between the Fund and a citizen, and you are bound by:

- 1 **Article 14** - a reasoned, consistent, non-arbitrary decision
- 2 **Article 21** as read in **Maneka Gandhi** - notice, hearing, fair procedure
- 3 the rule that you must decide on **the evidence before you**, not on instructions

THE SINGLE MOST IMPORTANT PROPOSITION IN THIS CHAPTER: in the quasi-judicial half you may not be directed how to decide. A superior may allocate the case to you, ask when the order will issue, and correct you on appeal or in review. **A superior may not tell you what to hold.** An order passed on somebody else's direction is not your order at all, and it fails on that ground alone.

Why this matters practically rather than theoretically. Collection is measured; adjudication is not. An officer under pressure on recovery figures faces a real temptation to resolve doubtful points in the Fund's favour. **The discipline is to notice that the two halves of the job answer to different masters** - the administrative half to the organisation, the adjudicatory half to the record.

FROM YOUR OWN WORLD · SANCTIONING AGAINST APPRAISING

You already hold two functions of exactly this shape.

When you **market a loan product** you are pursuing the bank's business, and volume is a virtue.

When you sit as a **sanctioning authority** on a proposal, you are applying credit norms to a file - and the fact that the branch wants the business is **not a reason to sanction**. The same officer, two capacities, different disciplines. A sanction granted because a senior wanted the numbers is exactly the kind of decision that fails an audit.

Provident fund adjudication is the sanctioning function, not the marketing function. And the parallel goes one step further: a sanction note that records "proposal discussed and approved" without appraising the numbers is **useless on audit** even if the decision was right. **A 7A order that records a hearing without giving reasons fails on appeal in precisely the same way, and for precisely the same reason.**

2.1 The six-step template from F2.4, mapped onto Section 7A

Recall the domestic-inquiry template from Chapter F2.4. **It is the same skeleton, and reusing it is the fastest way to make 7A procedure feel familiar rather than new.**

#	Domestic inquiry (F2.4)	Section 7A inquiry
1	Charge-sheet stating the allegation	Notice stating the period, the issue and the material relied on
2	Opportunity to reply	Opportunity to file a written reply and produce records
3	Inquiry with evidence	Hearing with documents, witnesses on oath, CPC powers
4	Findings on each charge	Findings on each issue framed
5	Reasoned decision on penalty	Reasoned, quantified determination
6	Communication, with appeal rights	Communication , with the 7-I appeal route

MUST MASTER · THE ONE DIFFERENCE THAT GOVERNS EVERYTHING

A domestic inquiry ends in a **penalty chosen from a range**, so proportionality matters. A 7A inquiry ends in a **figure that is either right or wrong** - there is no discretion about how much is due once the facts are found.

So in 7A the reasoning must SHOW THE COMPUTATION, not justify a choice. That is why "show your working" is the governing instruction of this chapter, and it is the single sentence that explains why both defective orders in Session 4 fail.

CHECK YOURSELF · SESSION 2

- 1 Name the two halves of the post and the discipline proper to each
- 2 May a superior direct you how to decide a 7A case? What may a superior legitimately do?
- 3 Why does the collection-target pressure create a real risk, and what is the discipline against it?
- 4 Map the six-step inquiry template onto 7A
- 5 What is the one structural difference between a domestic inquiry and a 7A inquiry?

3. Session 3 - THE WORKED INQUIRY ★★★★★

One fact pattern, eight stages, every figure checkable. Work through it with a pen; do not read it passively.

MINI CASE STUDY · THE FACTS - M/S SUNRISE ENGINEERING WORKS

The establishment. A factory manufacturing metal components, covered under **s.1(3)(a)** since 2016, holding an EPF code. It employs **30 persons on its own rolls** and remits contributions for them.

What the inspection found.

- 1 **Issue A.** The establishment engaged **22 workers through a labour contractor**, Shri R. K. Traders, on machine-tending and material handling **inside the factory**. **No contributions were remitted for any of the 22**, for a period of **18 months**. Their wages were **Rs 12,000** a month each, paid in cash by the contractor against consolidated "labour charges" bills raised on the establishment
- 2 **Issue B.** For its **30 regular employees**, the establishment restructured wages **24 months** ago, moving **Rs 2,000** a month out of basic wages into a newly created "**special allowance**" paid to **every** employee, and stopped remitting contributions on that Rs 2,000

The employer's stand, stated in a letter to the office.

- 1 On A: the 22 are the **contractor's** employees, not his; the contractor is registered and was paid in full; if anybody is liable it is the contractor
- 2 On B: "**special allowance**" is an **allowance**, and allowances other than DA and retaining allowance are **excluded from basic wages by s.2(b)**

Both defences are arguable on their face. That is deliberate - an inquiry where the employer has no case teaches nothing.

WORKED EXAMPLE · STAGE 1 - JURISDICTION, AND WHETHER AN INQUIRY LIES AT ALL

Before issuing any notice, satisfy yourself of four things and record that you have.

- 1 **Am I an officer competent under s.7A?** Yes - s.7A names the CPFC, **Additional, Deputy, Regional and Assistant** Provident Fund Commissioners. **An APFC is expressly competent**
- 2 **Is there a dispute of the kind s.7A covers?** Yes. s.7A covers disputes about **the amount due** (Issue A and B) and about **applicability**. Here applicability is not in dispute - the establishment is admittedly covered - so this is a **quantum** inquiry
- 3 **Is the establishment covered?** Yes, since 2016; and even if headcount had since fallen below 20, **s.1(5)** would keep it covered
- 4 **Is the claim within a reasonable time?** The periods are **18 and 24 months**. Recall from F3.2 that the Act prescribes **no express limitation** for initiating a 7A inquiry, only that the power be exercised **within a reasonable time**. Eighteen and twenty-four months are recent. **Record this finding, because staleness is a standard ground of challenge and an order that ignores it invites one**

What NOT to do at this stage. Do not form a view on the merits. You have an inspection report and an employer's letter; you have heard no evidence. **An officer who drafts the figure before the hearing has decided the case in advance, and it will show in the order.**

WORKED EXAMPLE · STAGE 2 - THE NOTICE

Issue a notice to the employer initiating proceedings under **s.7A**. A defensible notice contains **six** things:

- 1 The **provision** under which it is issued - **s.7A**
- 2 The **period** under inquiry, stated precisely for each issue
- 3 The **issues** - here, non-remittance for contractor's workers, and exclusion of "special allowance" from the base
- 4 The **material relied on** - the inspection report, and the specific records sought
- 5 A **direction to produce records**, listing them: wage registers, attendance and muster rolls, the **ledger and vouchers for payments to contractors**, contractor bills and agreements, bank statements, Form 5A, and the balance sheet
- 6 A **date, time and place of hearing**, and a statement that the employer may appear in person or through an authorised representative and may file a written reply

Two things the notice must not do. It must not **state a figure as though already determined** - that pre-judges. And it must not **omit an issue you later decide**: an employer cannot answer a case not put to him, and a determination on an issue absent from the notice is void for want of notice, however sound the arithmetic.

If the employer does not appear. s.7A permits you to proceed **ex parte**, but only after **proper service** and, in practice, a second opportunity. An ex parte order may be **set aside within three months** under **s.7A(4)** on sufficient cause - so an ex parte order rushed after one unserved notice is likely to be reopened, and the time saved is lost twice over.

WORKED EXAMPLE · STAGE 3 - THE HEARING, AND THE POWERS YOU USE IN IT

The employer appears with his accountant and produces part of the records. **Now use the s.7A powers deliberately, naming them in the record.**

- 1 **Discovery and production of documents** - the establishment produced wage registers for its 30 regular employees but **not** the contractor ledger. **Direct its production specifically**, and record the direction and any failure to comply
- 2 **Enforcing attendance and examining on oath** - **summon the contractor**, Shri R. K. Traders, and examine him on the number of workers, the rate of wages and the basis of his bills
- 3 **Receiving evidence on affidavit** - where a fact is not seriously contested, an affidavit saves time
- 4 **The proceeding is deemed judicial** for the purposes of the false-evidence provisions of the Penal Code, so testimony is taken on oath

What emerges.

- 1 The contractor confirms **22 workers, Rs 12,000** a month each, **18 months**, working **inside the factory on production-related tasks**, and states he made **no PF remittance** for them
- 2 The establishment's own ledger, produced under direction, shows monthly **"labour charges"** consistent with 22 workers at that wage
- 3 On Issue B, the wage registers show the **"special allowance" of Rs 2,000 paid to all 30 employees, every month, without variation, and not linked to attendance, output or any condition**

Note the single most useful investigative habit in this chapter, and it is the F3.2 lesson made operational: the establishment's own payroll was never going to reveal Issue A. The liability was visible only in the LEDGER OF PAYMENTS TO CONTRACTORS. Assess the payroll plus everything paid for labour through somebody else.

Adverse inference. Where a party withholds a document within its control after a specific direction, you may draw an adverse inference - but **say so in the order and give the reason**. An unstated inference looks like a guess.

WORKED EXAMPLE · STAGE 4 - FRAMING THE ISSUES, AND DECIDING THEM

Frame the issues explicitly. An order structured around issues is far harder to attack than a narrative.

ISSUE A - are the 22 contractor workers "employees" of this establishment for the purposes of the Act?

Finding: YES. Reasons:

- 1 **s.2(f)** defines "employee" to **include any person employed BY OR THROUGH A CONTRACTOR in or in connection with the work of the establishment**
- 2 These 22 worked **inside the factory on machine-tending and material handling** - not merely in connection with, but **in** the establishment's work
- 3 Wages reached them **indirectly**, which s.2(f) expressly accommodates - "**directly or indirectly**"
- 4 The employer's defence that they are the contractor's employees **is true and irrelevant**: they may be the contractor's employees **and** the establishment's employees for this Act's purposes. The statute makes the principal employer liable, and **s.8A gives him a right to recover from the contractor - a right of recovery, not a defence to liability**
- 5 **The contractor's failure to remit is therefore no answer.** Deal with the defence expressly; do not ignore it

ISSUE B - does the "special allowance" of Rs 2,000 form part of the contribution base?

Finding: YES. Reasons:

- 1 **s.2(b)** excludes certain items from basic wages, and **s.6** charges contributions on **basic wages, dearness allowance and retaining allowance**
- 2 The question is therefore **not** whether the payment is called an allowance, but whether it is in substance part of the **basic wage. Nomenclature does not decide it**
- 3 This payment is made to **every employee, every month, without variation**, and is **not linked to attendance, output, or any contingency**. It is **universal, ordinary and necessary** - the established indicia of basic wages
- 4 It was created by **moving Rs 2,000 OUT of admitted basic wages**, with no change in duties or total remuneration. **The restructuring altered the label, not the character of the payment**
- 5 **Record the finding that the exercise had the effect of depressing the contribution base**, and say on what evidence

On both issues, notice the structure: state the provision, apply it to found facts, and then answer the employer's argument in terms. An order that never mentions the defence reads as though the defence was never considered - and that is itself a ground of challenge.

WORKED EXAMPLE · STAGE 5 - QUANTIFICATION, WITH THE ARITHMETIC SHOWN

This is where most defective orders fail. Show every step.

ISSUE A - the 22 contractor workers.

- 1 Contribution base per worker: **Rs 12,000** a month. **Below the ceiling of Rs 15,000, so no capping applies**
- 2 Rate on which dues are determined: **employee 12% + employer 12% = 24%**
- 3 Per worker per month: 24% of 12,000 = **Rs 2,880**
- 4 For 22 workers: $2,880 \times 22 =$ **Rs 63,360** a month
- 5 For 18 months: $63,360 \times 18 =$ **Rs 11,40,480**

ISSUE B - the 30 regular employees.

- 1 Amount wrongly excluded: **Rs 2,000** a month each
- 2 Per employee per month: 24% of 2,000 = **Rs 480**
- 3 For 30 employees: $480 \times 30 =$ **Rs 14,400** a month
- 4 For 24 months: $14,400 \times 24 =$ **Rs 3,45,600**

TOTAL CONTRIBUTIONS DETERMINED: 11,40,480 + 3,45,600 = Rs 14,86,080

Then state separately, and do not fold into the above:

- 1 **EDLI at 0.50% and administrative charges at 0.50%**, computed on the same bases, payable by the employer
- 2 **Note for both issues that the wages are below the ceiling**, so the Rs 15,000 cap is not engaged - **say this, because an appellate authority will check it**

Three quantification disciplines to carry into every order:

- 1 **State the base, the rate, the number of persons and the number of months separately**, so each can be verified independently. A single lump sum is unverifiable and therefore unreasoned
- 2 **Say expressly whether the ceiling applies**. Here it does not; if a worker were on Rs 18,000 the base would be capped at Rs 15,000
- 3 **Do not average across a period in which the wage or headcount changed**. If it changed, compute period by period. Averaging is the commonest arithmetic shortcut that gets an order remanded

WORKED EXAMPLE · STAGE 6 - INTEREST AND DAMAGES, DEALT WITH SEPARATELY

7Q interest and 14B damages are different things and must be assessed in different paragraphs - ideally by separate orders.

INTEREST - s.7Q.

- 1 **12% per annum** on the amount due, **from the date each instalment became due until payment**
- 2 It is **compensatory** - the price of the Fund having been without the money
- 3 **It cannot be waived**, for anybody, in any circumstances
- 4 **Compute it month by month from each due date**, not as a single percentage of the total. A contribution due 18 months ago has run for 18 months; one due last month has run for one. **Stating a single illustrative figure without showing the monthly basis is exactly the defect Order 2 below exhibits**

DAMAGES - s.14B.

- 1 **Penal**, recovered for **default in payment**
- 2 **Graded by the length of default** under **Paragraph 32A**: under 2 months **5%**, 2 to 4 months **10%**, 4 to 6 months **15%**, **6 months and above 25%**
- 3 **Capped at 100% of the arrears**
- 4 **Requires its own opportunity of being heard** before levy
- 5 **May be reduced or waived for a sick industrial company** under a rehabilitation scheme - unlike interest

On these facts the defaults run to 18 and 24 months, so the **highest grade of 25% applies** to the bulk of the period; the earliest instalments in each series pass through the lower grades as the default lengthens, so **the grading must be applied period-wise rather than by picking one rate for everything.**

The three errors to avoid, all of which are fatal on appeal:

- 1 **Merging interest and damages into one figure.** They have different natures, different rates, different bases and different waiver rules. Merged, neither can be checked
- 2 **Levying 14B damages without a separate hearing.** The determination of dues does not carry the damages hearing with it
- 3 **Applying a single grade of damages to a long default** without showing how the period was banded

WORKED EXAMPLE · STAGE 7 - THE ORDER ITSELF, AND STAGE 8 - WHAT FOLLOWS

A defensible 7A order has eight parts. Use them as a checklist.

- 1 **1. Heading** - the establishment, its code, the section, the period
- 2 **2. Procedural history** - the notice, its service, the dates of hearing, who appeared, what was produced and what was withheld
- 3 **3. The issues**, framed
- 4 **4. The employer's contentions**, set out fairly and in his own terms
- 5 **5. Findings on each issue**, with the provision, the evidence and the answer to the contention
- 6 **6. Quantification**, showing base, rate, persons, months and the total, and stating whether the ceiling applies
- 7 **7. The operative direction** - the amount, by when, and how payable
- 8 **8. Appeal rights** - that an appeal lies under **s.7-I** within **60 days, extendable by a further 60**, to the **CGIT acting as the EPF Appellate Tribunal**, subject to the **s.7-O deposit of 75%**, which the Tribunal may waive or reduce

STAGE 8 - after signature.

- 1 **Communicate** the order to the employer. An unserved order cannot be appealed and cannot be enforced
- 2 **You cannot change your mind.** Once signed, your power over the order is confined to **s.7B review** - new and important evidence, or an error apparent on the face of the record, within **45 days. You may not review because you have reconsidered the merits**
- 3 If an amount **escaped** determination, the route is **s.7C**, within **five years**
- 4 On non-payment, recovery proceeds under **s.8** as arrears of land revenue, by certificate to the **Recovery Officer** under **8B to 8E**, or by the **garnishee power in s.8F** against persons owing money to the employer
- 5 **The employer's remedy is the appeal, and yours is to have written an order that survives it**

CHECK YOURSELF · SESSION 3

- 1 Name the four things to satisfy yourself of before issuing notice, and which one is a standard ground of challenge
- 2 List the six contents of a defensible notice, and the two things a notice must not do
- 3 Which s.7A powers would you use to establish contractor liability, and whom would you summon?
- 4 Where was Issue A's liability visible, and what habit does that teach?
- 5 State the finding and the five reasons on Issue A, including the answer to the "he is the contractor's employee" defence
- 6 State the indicia that made the "special allowance" part of basic wages
- 7 Reproduce both quantifications from the base upwards and check the total
- 8 Why must 7Q and 14B be assessed separately, and what are the three fatal errors?
- 9 List the eight parts of the order
- 10 After signature, what may you still do, and what may you not?

4. Session 4 - Two Defective Orders ★★★★★

Both of these orders follow a real hearing. Both fail. That is the lesson.

BEGINNER MISTAKE · DEFECTIVE ORDER 1 - THE UNREASONED ORDER

What it says, in substance:

"Notice under s.7A was issued on [date] and served. The employer appeared on [date] through his accountant and was heard. The records were examined. On consideration of the inspection report and the submissions, I determine the dues payable by the establishment for the period under inquiry at Rs 14,86,080, together with interest and damages. The employer is directed to remit the said amount within 15 days."

Notice that the FIGURE IS CORRECT. It is the same Rs 14,86,080 arrived at in Stage 5. **The order is still indefensible.**

Why it fails:

- 1 **No issues framed.** The reader cannot tell what was being decided
 - 2 **No findings.** It does not say the 22 were employees under s.2(f), nor why
 - 3 **The employer's contentions are not even recorded, let alone answered.** He argued two specific points; the order does not acknowledge either. **An order that does not deal with a contention is not a decision on it**
 - 4 **No quantification.** A single total, with no base, rate, number of persons or months. **Nobody - not the employer, not the Tribunal, not you in six months - can verify it**
 - 5 **Interest and damages are lumped in with a wave of the hand,** and 14B is levied with no separate hearing
 - 6 **15 days** is stated with no reason, when the statutory scheme contemplates a **60-day** appeal
- The governing principle, and it is the F2.4 lesson exactly: A HEARING IS NECESSARY BUT NOT SUFFICIENT. The employer here genuinely was heard. What he did not receive was a REASONED DECISION, and Article 14 requires one - because the duty is not merely to listen but to demonstrate that you decided on the material rather than arbitrarily.**

How it would end. On appeal the Tribunal would in all likelihood **set it aside and remand** - so the same inquiry is done twice, the dues are delayed by a year or more, and the Fund is the loser. **A badly written order does not merely risk injustice to the employer; it defeats the collection it was meant to secure.**

BEGINNER MISTAKE · DEFECTIVE ORDER 2 - REASONED, BUT WRONG IN LAW

This one is much better. It frames both issues, sets out the contentions, finds against the employer on s.2(f) with reasons, and shows the arithmetic for both issues correctly. **Then it ends like this:**

"...I accordingly determine the contributions at Rs 14,86,080. In addition, interest and damages are levied at 37% of the said amount, being Rs 5,49,850, making a total of Rs 20,35,930. The establishment being a loss-making unit, a sympathetic view has been taken and the said interest and damages are reduced by half."

Four distinct errors, and each is independently fatal:

- 1 **INTEREST AND DAMAGES ARE MERGED.** "37%" appears to be 12% interest plus 25% damages added together. They cannot be added: **7Q runs at 12% per annum from each due date**, so it depends on **how long each instalment has been outstanding**, while **14B is a graded percentage of the arrears**. One is time-dependent, the other is not. **Adding them is a category error**, and it makes both unverifiable
- 2 **NO SEPARATE HEARING ON 14B.** Damages are penal and require their own opportunity of being heard. The order levies them inside the determination
- 3 **THE GRADING IS NOT SHOWN.** A single 25% is applied to defaults of 18 and 24 months without banding the period under Paragraph 32A
- 4 **INTEREST HAS BEEN WAIVED, WHICH CANNOT BE DONE.** This is the most serious error. **s.7Q interest may not be waived or reduced by anybody.** Damages under **14B** may be reduced or waived for a **sick industrial company** under a rehabilitation scheme - and note that **"loss-making" is not the same as a sick industrial company declared by the appropriate authority**. So the officer has (i) waived something unwaivable, and (ii) applied the damages concession on a ground not established

The lesson, stated for the interview: the second order was written by an officer who understood the Act but not the DIFFERENCE BETWEEN COMPENSATION AND PUNISHMENT. Interest compensates the Fund for money it did not have; nobody may make the members bear that loss out of sympathy for the employer. Damages punish, and a punishment may be moderated - **but only on the statutory ground, by the authority empowered, on evidence.**

Fix it by doing three things: separate the two into different paragraphs or different orders; compute interest month by month from each due date; and either establish sick-industrial-company status on evidence or do not reduce damages at all.

CHECK YOURSELF · SESSION 4

- 1 Order 1 reached the right figure. State six reasons it is still indefensible
- 2 What is the probable outcome on appeal, and why does that hurt the Fund?
- 3 Explain why interest and damages cannot be added into a single percentage
- 4 Name the four errors in Order 2 and say which is the most serious
- 5 Distinguish "loss-making" from "a sick industrial company"
- 6 State the three fixes

5. Session 5 - After the Order ★★★★★

MUST MASTER · THE ROUTES OUT, AND WHO CONTROLS EACH

Route	Who invokes it	Time limit	Ground
s.7B review	The employer , or the officer	45 days	New and important evidence , or an error apparent on the face of the record . Not a change of view
s.7C escaped amount	The officer	5 years from the original order	An amount escaped determination or was under-determined
s.7-I appeal	The employer	60 days + 60	Any ground. Subject to the s.7-O deposit of 75% , waivable by the Tribunal for reasons recorded
Art 226 writ	The employer	No fixed period	After the Tribunal - jurisdictional error, breach of natural justice, perversity. Typically certiorari

Note the asymmetry, because it is a fair examination point: 7C belongs to the officer and 7-I to the employer, while 7B is available to both. The Act gives each side a route to correct a mistake, but they are different routes with different tests.

And note what is NOT a route. A **civil suit** does not lie where the statute provides its own machinery. Nor is there a further **statutory** appeal from the Tribunal to the Supreme Court - the route is **Article 226 to the High Court**, and thereafter the ordinary constitutional appellate process.

KNOW · THE DIGITAL RAILS, IN BRIEF

- 1 **ECR** - the Electronic Challan cum Return, filed with remittance **by the 15th**
- 2 **UAN** - the member's portable number, linking his accounts across employers, and the precondition of the ten-year vesting being reachable
- 3 **Shram Suvidha** - the Labour Identification Number and **randomised, web-based allocation of inspections**, which is how the **Inspector-cum-Facilitator** operates
- 4 **e-Shram** - the unorganised-workers' database, launched **2021**; its UAN is a **different** number from EPFO's
- 5 **EPFO's modernisation programme** is real and continuing, and further parameters are **CONFIRM**

The strategic point worth one sentence, and it is also good interview material: the Codes shifted enforcement from **physical inspection** towards **records and registration**, which means the credibility of adjudication now rests on the integrity of these databases. **An officer's order is only as good as the record it is built on** - which is why the investigative habit from Stage 3, going past the payroll to the contractor ledger, does not become obsolete simply because the system is digital.

ACTION · WHERE THIS LEAVES YOU, AND WHAT F3.5 DOES

You can now conduct an inquiry. The sequence to be able to recite: **competence under 7A - coverage and reasonable time - notice with the six contents - hearing using the CPC powers - issues framed - findings with provision, evidence and an answer to the defence - quantification showing base, rate, persons and months - interest and damages SEPARATELY - the eight-part order - communication - and then review, escaped amount, appeal or recovery.**

Next: Chapter F3.5 - the ESI Act, 1948. You leave the statute you administer and take up the one you must know as well as your own, because it answers **six of the nine contingencies** and because the 2023 paper drew on it. F3.5 covers coverage at **10**, the ceiling of **Rs 21,000** and **Rs 25,000** for a person with disability, the **0.75 plus 3.25 = 4 per cent** contribution, the **contribution and benefit periods**, the **six benefits with their rates**, the **Medical Board** chain that answers the 2023 question on who determines disablement, determination under **s.45A** - the ESI analogue of your own 7A - and the rule that **ESI and the Employees' Compensation Act 1923 are mutually exclusive.**

6. Graded Practice - 44 Questions ★★★★★

6.1 Level 1 - Recognition

Q. 1. EPFO is

(a) a constitutional body (b) a statutory body (c) a government company (d) a registered society

Q. 2. The Central Board of Trustees is chaired by

(a) the Prime Minister (b) the Union Minister of Labour and Employment (c) the Central Provident Fund Commissioner (d) the Secretary, Ministry of Labour

Q. 3. The chief executive of EPFO is the

(a) Chairman of the CBT (b) Central Provident Fund Commissioner (c) Financial Adviser and Chief Accounts Officer (d) Additional Central PF Commissioner

Q. 4. The Central Board is constituted under Section

(a) 5A (b) 5B (c) 5D (d) 6A

Q. 5. Officers of EPFO, including Assistant Provident Fund Commissioners, are appointed under Section

(a) 5A (b) 5B (c) 5D (d) 7A

Q. 6. Determination of moneys due from an employer is made under Section

(a) 7A (b) 7B (c) 7C (d) 7Q

Q. 7. An ex parte order under Section 7A may be set aside on application within

(a) 30 days (b) 45 days (c) three months (d) six months

Q. 8. Review of an order lies under Section 7B within

(a) 30 days (b) 45 days (c) 60 days (d) 90 days

Q. 9. An escaped amount may be determined within

(a) one year (b) three years (c) five years (d) seven years

Q. 10. The deposit required before an employer's appeal is entertained is

(a) 25% (b) 50% (c) 75% (d) 100%

Q. 11. The provision requiring that deposit is Section

(a) 7-I (b) 7-O (c) 7Q (d) 8F

Q. 12. Interest under Section 7Q is levied at

(a) 6% (b) 9% (c) 12% (d) 18%

Q. 13. Damages under Section 14B for a default of six months and above are levied at

(a) 5% (b) 10% (c) 15% (d) 25%

Q. 14. Damages are graded under Paragraph

(a) 26 (b) 32A (c) 61 (d) 68J

Q. 15. The garnishee power to recover from a person owing money to the employer is in Section

(a) 8 (b) 8A (c) 8B (d) 8F

Q. 16. The ECR must be filed by the

- (a) 5th (b) 10th (c) 15th (d) 20th

6.2 Level 2 - Understanding**Q. 17. In exercising the power under Section 7A, an APFC acts**

- (a) as a purely administrative officer (b) in a quasi-judicial capacity bound by Articles 14 and 21 (c) as a civil court in all respects (d) as an arbitrator chosen by the parties

Q. 18. A superior officer may legitimately

- (a) direct the APFC what to hold on the merits (b) allocate the case and ask when the order will issue, but not direct the finding (c) alter the order after signature (d) waive interest under 7Q

Q. 19. Which one of the following is not among the powers available in a Section 7A inquiry?

- (a) Enforcing the attendance of persons and examining them on oath (b) Requiring discovery and production of documents (c) Awarding compensation to the employees for delay (d) Issuing commissions for the examination of witnesses

Q. 20. On the facts of the worked inquiry, the 22 workers engaged through a contractor are employees of the establishment because

- (a) the contractor was unregistered (b) Section 2(f) includes a person employed by or through a contractor in or in connection with the work of the establishment (c) they were paid more than Rs 15,000 (d) the contractor consented

Q. 21. The employer's plea that the contractor failed to remit is

- (a) a complete defence (b) no defence, the employer having only a right of recovery under Section 8A (c) a partial defence reducing liability by half (d) a defence only if the contractor is insolvent

Q. 22. A "special allowance" paid to every employee every month without variation and unlinked to attendance or output is

- (a) excluded from the contribution base as an allowance (b) part of basic wages in substance, nomenclature not being decisive (c) included only if the employer agrees (d) included only above the ceiling

Q. 23. In the worked inquiry the liability for the contractor's workers was discoverable from

- (a) the establishment's own payroll (b) the ledger and vouchers of payments to contractors (c) the balance sheet alone (d) the ECR

Q. 24. A notice under Section 7A must not

- (a) specify the period (b) list the records required (c) state a figure as already determined (d) fix a date of hearing

Q. 25. A determination on an issue not put to the employer in the notice is

- (a) valid if the arithmetic is correct (b) void for want of notice, however sound the arithmetic (c) valid if the employer attended (d) curable by a corrigendum

Q. 26. Interest under Section 7Q must be computed

- (a) as a single percentage of the total dues (b) month by month from the date each instalment became due (c) only from the date of the order (d) only from the date of the notice

Q. 27. Which one of the following may be waived?

(a) Interest under 7Q, for any employer in difficulty (b) Damages under 14B, for a sick industrial company under a rehabilitation scheme (c) Both, at the officer's discretion (d) Neither, in any circumstances

Q. 28. Levying damages under Section 14B without a separate opportunity of being heard is

(a) permissible, the determination hearing sufficing (b) impermissible, damages being penal and requiring their own hearing (c) permissible if the amount is small (d) permissible if the employer did not appear

Q. 29. After signing a 7A order, an officer who has simply reconsidered the merits

(a) may review it under 7B (b) may not review it, review requiring new evidence or an error apparent on the face of the record (c) may recall it at any time (d) may amend it within 45 days for any reason

Q. 30. The reason a badly reasoned order harms the Fund is that

(a) it attracts a penalty on the officer (b) it is likely to be set aside and remanded, so the inquiry is repeated and the dues delayed (c) it reduces the interest payable (d) it cannot be served

Q. 31. Which one of the following is not a route available after a 7A order?

(a) Review under 7B (b) Appeal under 7-I (c) A civil suit before the District Court (d) A writ petition under Article 226 after the Tribunal

Q. 32. Section 7C belongs to the officer and Section 7-I to the employer. Section 7B is available

(a) only to the officer (b) only to the employer (c) to both (d) only to the Tribunal

6.3 Level 3 - Recruitment Test standard**Q. 33. An establishment engaged 15 workers through a contractor at Rs 10,000 a month each for 12 months and remitted nothing. Determining dues at the combined employee and employer rate, the contributions payable are**

(a) Rs 3,60,000 (b) Rs 4,32,000 (c) Rs 1,80,000 (d) Rs 2,16,000

Q. 34. An establishment excluded Rs 1,500 a month from the base for each of 40 employees for 20 months. The contributions payable, at the combined rate, are

(a) Rs 2,88,000 (b) Rs 1,44,000 (c) Rs 3,60,000 (d) Rs 1,20,000

Q. 35. A worker's basic wages and DA total Rs 19,000 a month. In determining dues the contribution base is

(a) Rs 19,000 (b) Rs 15,000 (c) Rs 21,000 (d) Rs 12,000

Q. 36. An order determines dues correctly at Rs 14,86,080 but frames no issues, does not record or answer the employer's contentions, and gives a single total with no computation. On appeal it is most likely to be

(a) upheld, the figure being correct (b) set aside and remanded for want of reasons (c) modified only as to interest (d) upheld with a warning

Q. 37. An officer levies "interest and damages at 37 per cent" of the dues in one figure. The principal objection is that

- (a) 37 per cent exceeds the statutory maximum (b) interest is time-dependent, running from each due date, while damages are a graded percentage of arrears, so the two cannot be added (c) damages cannot exceed interest (d) interest is payable only after the appeal

Q. 38. An officer reduces both interest and damages by half because the establishment is loss-making. The errors are that

- (a) there are none, the discretion being wide (b) interest cannot be waived at all, and the damages concession requires a sick industrial company declared by the appropriate authority, which "loss-making" does not establish (c) only the damages reduction is wrong (d) the reduction should have been one-third

Q. 39. Consider the following statements:

- 1 An APFC is expressly named in Section 7A as competent to determine moneys due.
- 2 A Section 7A proceeding is deemed to be a judicial proceeding for the purposes of the provisions on false evidence.
- 3 The Act prescribes a limitation of five years for initiating a Section 7A inquiry.

Which of the above statements are correct?

- (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 40. Match List-I with List-II and select the correct answer using the code below:

List-I (Provision)	List-II (Subject)
A. 7-O	1. Escaped amount
B. 7C	2. Damages for default
C. 14B	3. Deposit of 75% before appeal
D. 8F	4. Recovery from a person owing money to the employer

- (a) A-3 B-1 C-2 D-4 (b) A-1 B-3 C-2 D-4 (c) A-3 B-2 C-1 D-4 (d) A-4 B-1 C-2 D-3

Q. 41. The correct sequence of an inquiry is

- 1 Framing issues and recording findings
- 2 Satisfying yourself of competence, coverage and reasonable time
- 3 Quantification, then interest and damages separately
- 4 Notice stating the period, issues and material relied on

- (a) 2, 4, 1, 3 (b) 4, 2, 1, 3 (c) 2, 1, 4, 3 (d) 4, 1, 2, 3

Q. 42. Which one of the following statements about the two halves of the APFC's post is correct?

- (a) Both halves are administrative, so policy directions bind in each (b) In the quasi-judicial half the officer must decide on the evidence and may not be directed how to hold, whereas in the administrative half he acts on policy and circulars (c) The quasi-judicial half is subordinate to collection targets (d) Only the CPFC exercises quasi-judicial power

Q. 43. An employer withholds the contractor ledger after a specific direction to produce it. The officer may

- (a) do nothing further (b) draw an adverse inference, provided he states it and gives the reason in the order (c) impose damages under 14B for non-production (d) refer the matter to the civil court

Q. 44. The best statement of why "show your working" governs a 7A order is that

(a) appellate authorities require lengthy orders (b) a 7A inquiry ends in a figure that is either right or wrong, so the reasoning must demonstrate the computation rather than justify a choice of penalty (c) the employer is entitled to a copy of the file (d) the Act prescribes a format

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	b	A statutory body under the EPF & MP Act, 1952
2	b	The Union Minister of Labour and Employment . The CPFC is the chief executive, not the chairman
3	b	The Central Provident Fund Commissioner
4	a	s.5A
5	c	s.5D - the section that creates the APFC post
6	a	s.7A
7	c	Three months , under s.7A(4)
8	b	45 days
9	c	Five years
10	c	75%
11	b	s.7-O
12	c	12% per annum
13	d	25% - the highest grade
14	b	Paragraph 32A
15	d	s.8F
16	c	The 15th

7.2 Level 2

Q	Ans	Explanation
17	b	Quasi-judicial , bound by Art 14 (reasons, consistency) and Art 21 per <i>Maneka Gandhi</i> . He has certain CPC powers but is not a civil court in all respects, so (c) overstates it
18	b	Allocation and timelines are legitimate; directing the finding is not . An order passed on direction is not the officer's order
19	c	There is no power to award compensation . 7A determines what is due under the Act; it is not a general civil jurisdiction
20	b	s.2(f) includes a person employed by or through a contractor in or in connection with the establishment's work
21	b	No defence . s.8A gives a right of recovery against the contractor, which is not the same as a defence to liability
22	b	Substance over nomenclature . Universal, ordinary, invariable and unconditional payment bears the character of basic wages , whatever it is labelled

Q	Ans	Explanation
23	b	The contractor ledger and vouchers . The payroll would never have shown it - hence the rule: assess the payroll plus everything paid for labour through somebody else
24	c	It must not state a figure as already determined , because that pre-judges. The other three are required contents
25	b	Void for want of notice . An employer cannot answer a case never put to him, and correct arithmetic does not cure it
26	b	Month by month from each due date , because 7Q is time-dependent. A single percentage of the total is unverifiable
27	b	Only 14B damages, only for a sick industrial company under a rehabilitation scheme. 7Q interest can never be waived
28	b	Impermissible . Damages are penal and carry their own natural-justice requirement; the determination hearing does not absorb it
29	b	May not review . Review needs new and important evidence or an error apparent on the face of the record - not a change of view
30	b	It is likely to be set aside and remanded , so the inquiry is repeated and recovery delayed. A bad order defeats the collection it was meant to secure
31	c	A civil suit does not lie where the statute provides its own machinery
32	c	Both . 7C is the officer's route and 7-I the employer's, but 7B review is available to either

7.3 Level 3

Q	Ans	Explanation
33	b	Base Rs 10,000, below the ceiling. Combined rate 24% = Rs 2,400 per worker per month. $\times 15 = \text{Rs } 36,000$ a month. $\times 12 = \text{Rs } 4,32,000$. Option (d) Rs 2,16,000 counts only 12% , i.e. one side's share; option (a) Rs 3,60,000 applies 20% instead of 24%
34	a	24% of Rs 1,500 = Rs 360 per employee per month. $\times 40 = \text{Rs } 14,400$ a month. $\times 20 = \text{Rs } 2,88,000$. Option (b) Rs 1,44,000 counts only one side's 12%
35	b	Rs 15,000 - the base is capped at the ceiling. Rs 21,000 is the ESI ceiling and has no application here
36	b	Set aside and remanded for want of reasons . The correctness of the figure does not cure the absence of issues, findings and computation - a hearing is necessary but not sufficient
37	b	Interest is time-dependent and damages are not , so adding them is a category error that makes both unverifiable. (a) is wrong because the cap of 100% applies to damages, and 37% is within it
38	b	Two errors : interest under 7Q is never waivable, and the damages concession requires a sick industrial company declared by the appropriate authority - "loss-making" is not that
39	a	1 and 2 only . Statement 3 is wrong: the Act prescribes no limitation for initiating a 7A inquiry , only that it be within a reasonable time. The five years belongs to 7C, escaped amounts
40	a	A-3 7-O deposit; B-1 7C escaped amount; C-2 14B damages; D-4 8F garnishee
41	a	2, 4, 1, 3 - competence and coverage first, then notice, then issues and findings, then quantification with interest and damages separately

Q	Ans	Explanation
42	b	The two halves answer to different disciplines: policy and circulars in the administrative half; the evidence alone in the adjudicatory half. (d) is wrong because an APFC is expressly named in 7A
43	b	An adverse inference may be drawn, but it must be stated with reasons. An unstated inference reads as a guess. 14B is for default in payment, not non-production, so (c) is wrong
44	b	Because the inquiry produces a figure that is either right or wrong , unlike a domestic inquiry which selects a penalty from a range. The reasoning must therefore demonstrate the computation

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.4 - EPFO, THE APFC, AND SECTION 7A

EPFO ON THE CHART STATUTORY body under the **EPF & MP Act 1952** · parent **Ministry of Labour and Employment** · "other authority" = "State" under **Art 12** · **CBT (s.5A)** is the **GOVERNING** body - **TRIPARTITE**, chaired by the **UNION LABOUR MINISTER**, and it **RECOMMENDS THE INTEREST RATE** · **Executive Committee s.5B** · **CPFC (s.5D)** is the **CHIEF EXECUTIVE** - chair and chief executive are **DIFFERENT** offices · field: **Additional CPFC / zones** → **RPFC / regional** → **APFC / sub-regional** · **s.5D** creates your post · *tripartism at three levels: ILO → ILC → CBT*

FIVE FUNCTIONS registration and coverage · collection (**ECR by the 15th**) · accounting and investment (**UAN, 8.25%**) · benefit delivery · **ADJUDICATION** - the one function that cannot be automated, and the reason the post is recruited by examination

TWO HALVES OF THE POST ADMINISTRATIVE - office management, compliance, claims; act on **policy and circulars**; efficiency is a virtue · **QUASI-JUDICIAL** - **7A, 7B, 14B**; bound by **Art 14** (reasons, consistency) and **Art 21 (Maneka Gandhi)** · **A SUPERIOR MAY ALLOCATE THE CASE AND ASK WHEN THE ORDER WILL ISSUE, BUT MAY NOT DIRECT THE FINDING** · *the sanctioning function, not the marketing function*

THE SIX-STEP TEMPLATE (from F2.4) notice → reply → hearing → findings → reasoned quantified determination → communication with appeal rights · **the one difference: a domestic inquiry CHOOSES a penalty from a range, a 7A inquiry produces a FIGURE THAT IS RIGHT OR WRONG** - so the reasoning must **SHOW THE COMPUTATION**

STAGE 1 JURISDICTION am I competent (**7A names the APFC expressly**) · is it a 7A dispute (**applicability or amount**) · is the establishment covered (**and 1(5) keeps it covered**) · **is it within a REASONABLE TIME** - **no express limitation for 7A; the FIVE YEARS belongs to 7C** · **record the finding, because staleness is a standard ground of challenge**

STAGE 2 NOTICE - SIX CONTENTS the **provision** · the **period** · the **issues** · the **material relied on** · a **direction to produce records** (wage registers, muster rolls, **CONTRACTOR LEDGER AND VOUCHERS**, contractor bills, bank statements, Form 5A, balance sheet) · **date, time and place of hearing** · **MUST NOT state a figure as determined** and **MUST NOT omit an issue you later decide** - that determination is **VOID** for want of notice · **ex parte** allowed after proper service; set aside within **3 MONTHS** under **7A(4)**

STAGE 3 POWERS attendance and examination **ON OATH** · **discovery and production** · **evidence on affidavit** · **commissions** · **deemed a JUDICIAL PROCEEDING** for false-evidence purposes · **summon the CONTRACTOR** · **adverse inference is available but must be STATED WITH REASONS** · **THE HABIT: the payroll will never show contractor liability** - go to the **LEDGER OF PAYMENTS TO CONTRACTORS**

STAGE 4 FINDINGS ISSUE A - s.2(f) INCLUDES a person employed BY OR THROUGH A CONTRACTOR, these worked **inside** the factory, wages reached them **indirectly** which 2(f) accommodates, and **"they are the contractor's employees"** is **TRUE AND IRRELEVANT** - **s.8A is a RIGHT OF RECOVERY, NOT A DEFENCE** · **ISSUE B - NOMENCLATURE DOES NOT DECIDE**; a payment **universal, monthly, invariable and unlinked to attendance or output** is **basic wages in substance**; it was created by moving money **OUT of admitted basic wages** with no change of duties · **ANSWER THE DEFENCE IN TERMS** - an order silent on a contention is not a decision on it

STAGE 5 QUANTIFICATION 22 workers × Rs 12,000 · 24% = Rs 2,880 each · × 22 = Rs 63,360 pm · × 18 = Rs 11,40,480 · 30 employees × Rs 2,000 · 24% = Rs 480 each · × 30 = Rs 14,400 pm · × 24 = Rs 3,45,600 · **TOTAL Rs 14,86,080** plus **EDLI 0.50%** and **admin 0.50%** · **DISCIPLINES: state base, rate, persons and months SEPARATELY** · say expressly whether the **CEILING** applies · **NEVER AVERAGE** across a period in which wages or headcount changed

STAGE 6 INTEREST AND DAMAGES - SEPARATELY 7Q 12% p.a. from EACH DUE DATE, COMPENSATORY, NEVER WAIVABLE, computed MONTH BY MONTH · 14B PENAL, graded under Para 32A - <2m 5%, 2-4m 10%, 4-6m 15%, 6m+ 25% - CAPPED AT 100% OF ARREARS, needs ITS OWN HEARING, waivable ONLY for a SICK INDUSTRIAL COMPANY under a rehabilitation scheme · THREE FATAL ERRORS: merging them · no separate 14B hearing · one grade applied to a long default without banding

STAGE 7 THE EIGHT-PART ORDER heading · procedural history · issues · the employer's contentions · findings · quantification · operative direction · **appeal rights: 7-I, 60 + 60, CGIT as EPF Appellate Tribunal, 7-O deposit 75%**

STAGE 8 AFTER SIGNATURE communicate · you cannot change your mind - only 7B review on **NEW EVIDENCE** or **ERROR APPARENT**, 45 days · 7C escaped amount, 5 years · recovery s.8 as arrears of land revenue, certificate to the **Recovery Officer 8B-8E, 8F GARNISHEE**
DEFECTIVE ORDER 1 - THE UNREASONED ORDER the figure was **CORRECT** and it still fails: no issues · no findings · contentions not even recorded · a single unverifiable total · interest and damages waved through · 15 days with no reason · **A HEARING IS NECESSARY BUT NOT SUFFICIENT** · outcome: set aside and remanded - so a bad order **DEFEATS THE COLLECTION IT WAS MEANT TO SECURE**

DEFECTIVE ORDER 2 - REASONED BUT WRONG IN LAW "interest and damages at 37%" merges a **time-dependent** levy with a **graded percentage** - a **category error** · no separate 14B hearing · **grading not banded** · **INTEREST WAIVED, WHICH CANNOT BE DONE**, and "loss-making" IS NOT a sick industrial company declared by the appropriate authority · *the officer knew the Act but not the difference between COMPENSATION and PUNISHMENT*

ROUTES OUT 7B review - EITHER side, 45 days, new evidence or error apparent · 7C - THE OFFICER, 5 years · 7-I appeal - THE EMPLOYER, 60 + 60, on a 75% deposit · Art 226 after the Tribunal, typically CERTIORARI · NO civil suit; NO statutory appeal to the Supreme Court

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.4 - EPFO, THE APFC, AND SECTION 7A

EPFO = STATUTORY · Ministry of Labour and Employment · "State" under Art 12

CBT s.5A tripartite, chaired by the UNION LABOUR MINISTER, recommends the interest rate

CPFC s.5D = CHIEF EXECUTIVE · s.5D also creates the APFC post · CHAIR ≠ CHIEF EXECUTIVE

TWO HALVES: administrative (policy, circulars) vs QUASI-JUDICIAL (evidence only)

A SUPERIOR MAY ALLOCATE AND ASK WHEN — NEVER WHAT TO HOLD

7A NAMES THE APFC · decides APPLICABILITY and AMOUNT

NO LIMITATION FOR 7A — only a reasonable time · THE 5 YEARS IS 7C

NOTICE: provision · period · issues · material · records · hearing date

NEVER state a figure as determined · NEVER decide an issue not in the notice (VOID)

EX PARTE allowed · SET ASIDE IN 3 MONTHS (7A(4))

POWERS: attendance on oath · discovery · affidavit · commissions · DEEMED JUDICIAL

GO TO THE CONTRACTOR LEDGER — the payroll will never show it

s.2(f) INCLUDES BY OR THROUGH A CONTRACTOR · s.8A = RECOVERY, NOT A DEFENCE

NOMENCLATURE DOES NOT DECIDE — universal, monthly, invariable = BASIC WAGES

QUANTIFY: base × rate × persons × months, EACH STATED · say if the CEILING applies · NEVER AVERAGE

$22 \times 12,000 \times 24\% \times 18 = \text{Rs } 11,40,480$ · $30 \times 2,000 \times 24\% \times 24 = \text{Rs } 3,45,600$ · TOTAL Rs 14,86,080

7Q 12% FROM EACH DUE DATE · COMPENSATORY · NEVER WAIVED · MONTH BY MONTH

14B PENAL · 5/10/15/25% (Para 32A) · MAX 100% · OWN HEARING · WAIVABLE ONLY FOR A SICK INDUSTRIAL COMPANY

NEVER MERGE 7Q AND 14B — one is time-dependent, the other is not

ORDER IN 8 PARTS · END WITH 7-I RIGHTS: 60 + 60, CGIT, 7-O 75% DEPOSIT

AFTER SIGNATURE: only 7B (45 days, new evidence or error apparent) · 7C (5 yrs) · 8F garnishee

ORDER 1 FAILED WITH THE RIGHT FIGURE — A HEARING IS NECESSARY BUT NOT SUFFICIENT

ORDER 2 FAILED BY CONFUSING COMPENSATION WITH PUNISHMENT

NO CIVIL SUIT · NO STATUTORY APPEAL TO THE SUPREME COURT · Art 226 CERTIORARI